

Basel 3.1 Changes – Implementation Approach

Capital Reporting | B3.1 Changes Summary

This document summarises the three main change areas identified within the Mortgage Hybrid Model as part of the Basel 3.1 regulatory update. The scope covers model parameter adjustments, EAD integration into the Capital Engine, and PD floor recalibration.

1. B3.1 Changes Impacting the Model

Responsible team: Nfg Team

The following parameter and formula changes have been identified as directly impacting the Mortgage Hybrid Model under the Basel 3.1 framework:

1.1 PD Floor Update

- The PD floor has been updated **from 0.03% to 0.1%**.
- Implementation timeline: **1 day** (development) + **2 days** (validation/comprobaciones).

1.2 LGD Floor Removal

- The **LGD 10% floor will be removed**.
- Implementation timeline: **2 days** (development) + **1 day** de comprobación.

1.3 EAD Formula Change for Mortgage CD in ('N', 'F')

- Pipeline CCFs set to **0.5**.
- Remove from the formula:
 - $(4 * \text{arr_fee})$
 - multiplication of $*(\text{sum}(1, \text{int_rate_monthly}))^3$

Timeline: 1+1 comprobaciones (secuencias)

2. EAD Integration into the Capital Engine

Responsible team: Nfg Team / Capital Engine Model Integration

The EAD integration requires careful alignment between the model output and the Capital Engine processing logic within the RMDS framework. The key points are:

- Main internal ratings, **rpm_output** and **cpt_input** exposures currently contain both ead_on_balance and ead_off_balance as calculated by the model.
- CreditRisk engine / RMDS: the EAD field is calculated within the RMDS process based on the **original exposure** and the **IRB CCF** available at the engine output.
- Therefore, the engine must **reverse** the EAD derived from the model in order to recover the exposure and the CCF, so that the EAD calculated in the RMDS is the same as that resulting from the model.
- The process reuses information available at the engine output, facilitating the implementation and **avoiding the need to create new fields**, which would require updating other dependent processes.

3. Changes Impacting the Capital Engine

Responsible team: Capital IT Team / Capital Engine Changes

The following Capital Engine-level changes are required to align with the updated Basel 3.1 parameters and regulatory requirements:

Change	Reference	Description
PD Floor	IR11	Updated from 0.03% to 0.1%
LGD 10% Floor	AUTO_ADJUSTMENT	Floor by perimeter will be removed
AIRB CCF Floor	IR16	Floor applied to calculate the EAD
RW Floor	IR05	AIRB Mortgages RW should not be lower than 10% by perimeter

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